

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTONICS AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**NON-PARTY SAMSUNG SDS AMERICA, INC.'S OPPOSITION TO
MOTION TO COMPEL PRODUCTION OF DOCUMENTS**

Pursuant to 46 C.F.R. § 502.150(a)(3), Samsung SDS America, Inc. (“SDSA”) respectfully submits this opposition to the Motion Compel Production of Documents submitted on February 23, 2024, by Respondent SM Line Corporation (“SML”).

BACKGROUND

On or about December 28, 2023, SDSA received a subpoena (the “Subpoena”) from SML seeking documents and correspondence between SDSA and numerous entities relating to the movement and handling of certain “Containers” transported by SML for Complainant Samsung Electronics America, Inc. (“SEA”). The Subpoena did not identify what Containers were at issue or specify the time period during which the Containers were transported. Instead, the scope of the Subpoena was defined in terms of “*the Containers that SEA claims being at issue in SEA's*

Complaint,” leaving it to SDSA – a non-party to this proceeding – to try to ascertain the nature and scope of the SEA’s claims asserted in SEA’s Complaint.¹

Based on SDSA’s review of the Complaint filed in this proceeding by SEA, the dispute between SEA and SML appeared to involve (1) demurrage, detention, storage and inland transportation charges (2) incurred by SEA (3) in connection with “store door” movements handled by SML for SEA (4) during 2020 and 2021.² After a preliminary review of its business records, SDSA determined it had no involvement in payment of demurrage, detention, storage or inland transportation charges for SEA “door” shipments handled by SML during 2020-2021. SDSA’s only involvement with SML shipments for SEA during 2022-2021 was payment of ocean freight charges on behalf of SEA. Counsel for SDSA met and conferred with Counsel for SML and also reviewed information proffered by SML’s counsel, but ultimately a resolution of the dispute about the relevance and scope of the Subpoena could not be reached. Consequently, SDSA filed a Motion to Quash the Subpoena on January 5, 2024.

SDSA made clear in its Motion to Quash its understanding that the scope of the Subpoena was limited to demurrage, detention, storage and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA during 2020 and 2021. *See* Motion to Quash at 3-4; Kim Declaration at 3-4. In its response, SML did not dispute SDSA’s understanding that SEA’s Complaint involved demurrage, detention, storage and inland

¹ Requests Nos. 14-17 of the Subpoena, which sought the production of various financial and internal SDSA corporate documents, specified “the last four (4) years” as the relevant time period for those Requests. The scope of the remaining Requests Nos. 1-13 and 17-18 was defined as “*the Containers that SEA claims being at issue in SEA’s Complaint.*”

² Upon receiving the Subpoena, SDSA’s undersigned counsel contacted counsel for both SML and SEA about the scope of SEA’s claims, but neither party to this proceeding was able to set out definitive guidelines upon which SDSA could rely. While counsel for SML indicated that SML had documents suggesting that SDSA was involved in paying demurrage and similar charges on behalf of SEA for door movements by SML, SML did not provide any such documents to SDSA.

transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA during 2020 and 2021.³ Instead, SML suggested that “SDSA is willfully choosing to misinterpret the term “store door” movements and hopes to skate by its obligations thereunder.” *See* SML Response at 3.

The Order issued on January 24, 2024, granted in part and modified the Subpoena with respect to Requests Nos. 14-17 (which stated a time period of “the last four (4) years”) but required SDSA to respond to the remaining Requests. The Order stated that “SM Line acknowledges the subpoena does not contain a list of shipments, it argues that it does not have such a list, and that Samsung nevertheless correctly ascertained that the subpoena sought information regarding Samsung Electronics America shipments from 2020-2021 that shipped on “store door” or carrier haulage terms.”

On February 7, 2024, SDSA provided written responses to the Subpoena and produced responsive documents to SML for the period 2020-2021. SDSA’s written responses made clear that its responses were directed to SEA ocean shipments transported by SM Line Corporation from 2020-2021 that shipped on “store door” or carrier haulage terms. Because SDSA’s involvement with SML shipments for SEA was limited to paying ocean freight charges to SML on behalf of SEA, the documents produced primarily reflect accounts payable and accounts receivable data and SDSA’s correspondence with SML and SDSA regarding those payments. SDSA’s written responses made clear that it was not involved in demurrage, detention, storage and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA during 2020 and 2021.

³ In its Response, SML argued that documents and information covering 2022 was required only in response to Requests Nos. 14-17, which sought financial and internal SDSA corporate documents for the “last four (4) years.” *See* SML response at 5-6.

On February 14, 2024, SML sent an email raising questions about SDSA's response. SDSA responded in writing the same day and suggested a telephone call to discuss SML's concerns. On the morning of February 16, 2024, SML requested a telephone call and SDSA agreed to participate in a call that morning. Following the telephone call, SML sent a follow up email that did not accurately describe the meet and confer discussion. SDSA responded to express its disagreement with the representations in SML's email.⁴ The attached email string shows the meet and confer correspondence between counsel for SML and SDSA.

On February 23, 2024, SML filed the instant Motion to Compel Production of Documents (the "Motion") seeking an order compelling SDSA to produce "demurrage and detention and other charge related documents for shipments related to Samsung Electronics America, Inc. ("SEA") (carried by SM Line) for 2022." SML's Motion to Compel seeks to alter and expand the scope of the Subpoena in two significant respects. First, SML argues that the time period covered by the Subpoena should be expanded to include at least 2022. Second, SML appears to argue that the scope of the Subpoena should be expanded beyond "door" shipments transported by SML to include any shipments moved by SML for SEA.

ARGUMENT

SML's request to significantly expand the scope of the Subpoena after SDSA has completed its search for responsive information and produced both written responses and documents should be denied as unfair, unduly burdensome, and inconsistent with its obligations under Rule 45 of the Federal Rules of Civil Procedure.⁵ Rule 45 provides that "A party or attorney

⁴ The email string regarding the meet and confer correspondence between counsel for SML and SDSA is attached hereto as Exhibit A.

⁵ Where the Commission's Rules and Regulations do not specifically address an issue, the Federal Rules of Civil Procedure ("FRCP") control. *See* 46 C.F.R. § 502.12.

responsible for issuing and serving a subpoena must take reasonable steps to avoid imposing undue burden or expense on a person subject to the subpoena.” *See also Selective Ins. Co. of Se. v. RLI Ins. Co.*, No. 5:12CV2126, 2016 WL 6915890, at *2 (N.D. Ohio Sept. 16, 2016), *report and recommendation adopted*, No. 5:12CV2126, 2017 WL 1206036 (N.D. Ohio Mar. 31, 2017) (“Fed. R. 45(d)(1) requires the party or attorney responsible for issuing and serving a subpoena to take reasonable steps to avoid imposing an undue burden or expense on a person subject to a subpoena.”).

To the extent SML wanted the Subpoena to cover shipments for 2022, it could (and should) have made that expressly clear in the Subpoena itself – rather than leaving it up to a non-party to figure out for itself the nature and scope of the Complainant’s claims. At the very least, SML should have made clear in its response to SDSA’s Motion to Quash that it expected the Subpoena to cover transactional documents from 2022 rather than to wait until after SDSA had completed its search and produced documents. SML’s failure to do so should foreclose its attempts to require SDSA to undertake the burden of conducting a second search and production of documents.

SML now contends that the Subpoena “required production for documents from the last four years which necessarily included 2020, 2021 and 2022.” *See* Motion at 5. However, as noted above, that is simply not true. Only Requests Nos. 14-17 stated a time period of the last four years.⁶ The remaining Requests do not state a time period of four years, instead requiring SDSA to ascertain the relevant time period based on the claims stated in the Complaint. If SML intended Requests Nos. 1-13 and 17-18 to cover the last four years, it could easily have so stated in the Subpoena – as it did with respect to Requests Nos. 14-17. SDSA should not be required to bear

⁶ SDSA searched for and found no documents responsive to Requests Nos. 14-17, as modified by the Order, in the last four years.

the burden of conducting a second search for responsive documents because SML wishes to expand the scope of the Subpoena after the fact. For the same reasons, SML should not be allowed to expand the scope of the Subpoena to include shipments that were not under “door” terms, as it appears SML is suggesting.⁷

SML claims that documents included as Exhibits A and B to its Response to the Motion to Quash demonstrate that SDSA had considerable involvement in SML movements for SEA that are at issue in SEA’s Complaint. But SML does not even attempt to describe those documents or explain how they demonstrate that SDSA was involved in demurrage, detention, storage and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA. As discussed below, none of those documents show that SDSA was involved in “door” movements at issue in the Complaint.

Exhibit A to SML’s Response to the Motion to Quash contains three sets of documents. Pages 1-24 of Exhibit A contain email correspondence in the fall of 2022 in which SDSA attempted to assist SEA in getting a specific container released from a rail yard.⁸ There is no indication in these documents that the container was moved under “door” terms with SML, nor does SML represent that this was a “door” movement. In fact, SDSA understands that SML was not providing “door” moves for SEA in the fall of 2022. The second set of documents (pages 24-29 of Exhibit A) concerns a request from SDSA to SML for a copy of SML’s Demurrage/Detention rate table for “research purposes” in October 2022. These document in no way suggest – much less demonstrate – that SDSA was involved in demurrage/detention charges for SML “door”

⁷ While SML does not directly state in its Motion that it is seeking to expand the scope of the Subpoena to include non-door shipments, the demand for an order compelling production of “demurrage and detention and other charge related documents for shipments related to Samsung Electronics America, Inc. (“SEA”) (carried by SM Line) for 2022” is not limited to the “door” movements specified in the Complaint.

⁸ As noted above, SDSA believes that transactions from 2022 are beyond the scope of the Subpoena.

movements for SEA. The third set of documents (pages 30-57 of Exhibit A) relate to payments made by SDSA to SML in 2020 and 2021. What SML fails to mention but obviously should know is that these payments were made to SML on behalf of another SDSA customer – Samsung International Inc. – and NOT SEA. Simply put, they have nothing to do with SEA door shipments.

Similarly, there is nothing in Exhibit B to SML’s Response to the Motion to Quash to even suggest that SDSA was involved in demurrage/detention charges for SML “door” movements for SEA. Exhibit B is a collection SML bills of lading for SEA shipments. Notably, SDSA is not list on the face of the bill of lading as shipper, consignee, forwarding agent, or notify party. SDSA is only listed as a third or fourth notify party on riders to the bills of lading since SDSA was making ocean freight payments – but not demurrage or detention payments – to SML on behalf of SEA.

Finally, SDSA has repeatedly advised SML that it was not involved in and did not pay demurrage and detention and other charges in connection with SML “door” movements in 2020, 2021.⁹ Nonetheless, SML continues to insist that unspecified “records” demonstrate otherwise and demands that SDSA produce documents that SDSA believes do not exist. If SML has “records” showing SDSA’s involvement in demurrage, detention, storage, and inland transportation charges incurred by SEA in connection with “store door” movements handled by SML for SEA, then it should have produced them in connection with its Response to the Motion to Quash and its Motion to Compel.¹⁰

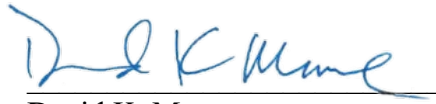
CONCLUSION

For all the foregoing reasons, non-party SDS America, Inc. respectfully requests that SML’s Motion to Compel be denied.

⁹ The same is true for 2022.

¹⁰ As noted above, the documents produced to date in Exhibits A and B to SML’s Response to the Motion to Quash do not support SML’s assertions.

Respectfully Submitted,



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